

GETTING THE BASICS RIGHT

Bharat K. Sheth, Deputy Chairman & MD of Great Eastern Shipping, took the tough decisions early and that has helped the firm pounce on opportunities when they arise

By **Krishna Gopalan**

► **LIKE FOR MANY** executives across the world, the Lehman moment in 2008 was a big wake up call for Bharat K. Sheth. “We were always conservative as a company. Lehman taught us we were not conservative enough for Black Swan events and that was a huge learning,” says the Deputy Chairman & Managing Director of The Great Eastern Shipping Co. Ltd.

It was time to get back to the basics, and that meant revisiting the risk model. From a fundamental point of view, it was about defining risk and how to prepare

for the unexpected. “Shipping is a very capex-intensive business, and everything hinges on capital allocation. The question is: What is the leverage within which you are willing to play the game,” explains Sheth.

A decision to cut back on debt was taken. Interestingly, the company was in very good shape (it had a triple A rating), and this was done proactively. There was a committed capex of \$1.6 billion, but banks were understandably nervous, and funding could have become a challenge.

Reflecting on the period, Sheth, winner in the Transport & Logistics category of the BT-PwC India’s Best CEOs ranking this year, says: “Shipping being amongst the most volatile industries globally, few companies have been around for over 75 years.” Great Eastern has learnt over the years that “having low leverage, high cash balances and a strict discipline on making acquisitions in low markets is the best mantra for long term survival.” Today, it has a fleet of 42 ships—crude, product, gas, and dry bulk carriers. It also owns and operates one of India’s largest and most modern fleets in the offshore oilfield exploration and production sector. It has four jack-up rigs and 19 offshore support vessels.

It conducted an exercise to identify risks afresh after Lehman. That phase turned out to be invaluable, and by 2016, the scenario had changed and Great Eastern was hungry. “Asset values had dropped considerably, and we had the capacity to invest. The phase between 2008 and 2016 was about being on the Titanic and not hitting the iceberg but changing direction,” says Sheth. If Lehman was a big lesson in the unexpected, it meant being better prepared when the pandemic hit. In financial terms, that process of strengthening the balance sheet worked very well. The investments made in 2016 paid off, yielding a dollar return of close to 30% in seven years.

Transport & Logistics

BHARAT K. SHETH

DEPUTY CHAIRMAN AND MD,
THE GREAT EASTERN SHIPPING CO. LTD

Revenue from operations	FY23	5,690.5
	9MFY24	3,757.8
Profit before tax	FY23	2,553.5
	9MFY24	1,752.5
Profit after tax	FY23	2,575
	9MFY24	1,709.1
	FY23 RoE (%)	28.1
	Market Cap	13,647.8

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE